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THE NEGOTIABLE INSTRUMENTS ACT, 1881

Chapter 7 · Business Laws · CA Foundation

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CHAPTER OVERVIEW

1. Meaning & Characteristics of Negotiable Instruments
2. Promissory Note (P/N) — Definition, Parties & Essentials
3. Bill of Exchange (BOE) — Definition, Parties & Essentials
4. Cheque — Definition, Parties & Essentials
5. Classification — Bearer, Order, Inland, Foreign, Inchoate, Ambiguous
6. Negotiation (Transfer) of Instruments
7. Dishonour of Cheques — Sections 138 to 142
8. Presentment of Instruments — Sections 61 to 77
9. Rules of Compensation — Section 117

INTRODUCTION

- **The Negotiable Instruments Act, 1881** came into force on 1st March 1882.
- **Purpose:** To make trade easier — merchants did not need to carry bulk cash. Written documents (instruments) representing money could be passed hand to hand like goods.
- **The Act covers three main instruments:** Promissory Notes, Bills of Exchange, and Cheques.
- **The Act applies to the whole of India.** It does NOT affect the Reserve Bank of India Act, 1934.
- **Also applies to Hundis** (unless local custom says otherwise). Treasury Bills, Bearer Debentures, Railway Receipts, Delivery Orders, and Bills of Lading are also treated as negotiable instruments by trade custom or other enactments.

Key Amendments: (1) NI (Amendment and Miscellaneous Provisions) Act, 2002 | (2) NI (Amendment) Act, 2015 | (3) NI (Amendment) Act, 2018

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1. MEANING OF NEGOTIABLE INSTRUMENTS [Section 13]

A **Negotiable Instrument** is a written document that is freely transferable from one person to another — by mere delivery (bearer) or by endorsement and delivery (order). The recipient in good faith gets a clean title, free from defects.

- **Section 13 recognises only three types:** Promissory Notes, Bills of Exchange, and Cheques — payable either to order or to bearer.

Payable to Order vs. Payable to Bearer

- **Payable to Order:** When it says 'pay [person] or order', or when payable to a specific person without restricting transfer. Transferred by endorsement + delivery.
- **Payable to Bearer:** When it says 'pay bearer', or when the last endorsement is in blank (only signature, no name written). Transferred by mere delivery.

8 Essential Characteristics of Negotiable Instruments

- **1. Writing:** Must be in writing — oral instrument is not recognised.
- **2. Signed:** Must be signed by the maker / drawer.
- **3. Freely transferable:** Passes from person to person easily.
- **4. Title free from defects:** A bona fide transferee for value gets a clean title.
- **5. Multiple transfers:** Can be transferred any number of times until it is paid.

- **6. Unconditional promise or order to pay money only:** Cannot be for goods or services.
- **7. Certainty:** Sum payable, time of payment, and payee must all be certain.
- **8. Delivery:** Must be physically delivered — merely signing does not create liability.

2. PROMISSORY NOTE [Section 4]

Definition

A **Promissory Note (P/N)** is a written document (NOT a bank note or currency note) containing an unconditional undertaking, signed by the maker, to pay a certain sum of money to, or to the order of, a certain person, or to the bearer of the instrument.

Simple meaning: One person (debtor) writes — 'I promise to pay ₹X to [name]' — and signs it.

Parties to a Promissory Note

- **Maker:** The person who makes the promise to pay — the debtor. Must sign the instrument.
- **Payee:** The person to whom the money is payable.

Essential Characteristics of a Promissory Note

- **(a) In Writing:** Oral promise is not sufficient.
- **(b) Express promise to pay:** Just saying 'I.O.U. ₹500' is NOT enough — that is only an acknowledgement of debt, not a promise to pay.
- **(c) Definite and unconditional:** Cannot depend on a condition that may or may not happen. BUT a condition that is certain to happen (e.g., someone's death) is acceptable.
- **(d) Signed by the Maker:** Without signature, it is incomplete and ineffective.
- **(e) Money only:** Promise must be to pay money — not goods or services.
- **(f) Certain sum:** The amount must be fixed. Amount + interest at a specified rate is acceptable.
- **(g) Maker and Payee must be certain, definite, and different persons.** A P/N CANNOT be made payable to bearer — only RBI or Central Government can issue bearer P/Ns.
- **(h) Stamping:** Must be properly stamped under the Indian Stamp Act; stamp must be cancelled by maker's signature.

> *Example (Invalid): 'Mr. B, I.O.U. ₹1,000.' → Only acknowledgement, NO promise to pay. Invalid P/N.*
> *Example (Valid): 'I acknowledge myself indebted to B in ₹1,000, to be paid on demand, for value received.' → Contains a definite promise. Valid P/N.*

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Example (Invalid): 'I promise to pay B ₹500 seven days after my marriage with C.' → Marriage may or may not happen. Invalid (conditional).
Example (Valid): 'I promise to pay B ₹500 on D's death.' → Death is certain. Valid P/N.
Example (Invalid): 'I promise to pay B ₹500 and to deliver my black horse.' → Not money only. Invalid P/N.
Example (Invalid): 'I promise to pay B ₹500 and all other sums due to him.' → Amount not certain. Invalid P/N.
Example (Valid): 'I promise to pay B ₹500 with simple interest at 12% per annum.' → Amount is ascertainable. Valid P/N.

3. BILL OF EXCHANGE [Section 5]

Definition

A **Bill of Exchange (BOE)** is a written document containing an unconditional order, signed by the maker (drawer), directing a certain person (drawee) to pay a certain sum of money only to, or to the order of, a certain person (payee) or to the bearer of the instrument.

Simple meaning: A seller writes to a buyer — 'Pay ₹X to [payee].' The buyer accepts and signs it.

Parties to a Bill of Exchange

- **Drawer:** The maker of the bill — usually the creditor/seller. Creates and signs the bill.
- **Drawee:** The person directed to pay — usually the debtor/buyer. On acceptance (signing), he is called the Acceptor. His liability then becomes primary and unconditional.
- **Payee:** The person to whom money is to be paid — can be the drawer himself or a third party.

Essential Characteristics of a Bill of Exchange

- (a) In writing.
- **(b) Express order to pay** — not a mere request.
- (c) Definite and unconditional order.
- (d) Signed by the Drawer.
- **(e) Drawer, Drawee, and Payee must be certain.** All three may not be different persons — one can play two roles — but there must be at least two distinct persons.
- (f) Certain sum.
- (g) Order to pay money only.
- (h) Properly stamped.
- **IMPORTANT:** A BOE CANNOT be payable to bearer on demand [Section 31, RBI Act 1934]. But a BOE payable on demand with a named payee is valid.

> *Invalid BOE: 'On demand pay to the bearer the sum of ₹500.' → Cannot be payable to bearer on demand.*
> *Valid BOE: 'On demand pay to A or order the sum of ₹500.' → Payee (A) is named — valid.*

Process / Flow of a Bill of Exchange

- **Step 1:** Seller (Drawer) sells goods to Buyer (Drawee) on credit.
- **Step 2:** Drawer creates a BOE and sends it to the Drawee.
- **Step 3:** Drawee accepts the BOE unconditionally by signing it.
- **Step 4:** On maturity, Drawer presents the bill to Drawee for payment.
- **Step 5:** Drawee pays the amount to the Payee — transaction complete.

DIFFERENCE: PROMISSORY NOTE vs. BILL OF EXCHANGE

S.No.	Basis	Promissory Note	Bill of Exchange
1.	Nature of Instrument	Contains a PROMISE to pay.	Contains an ORDER to pay.
2.	Parties	2 parties — Maker and Payee.	3 parties — Drawer, Drawee, and Payee.
3.	Acceptance	No acceptance needed — maker himself promises to pay.	Acceptance by Drawee is required.
4.	Payable to Bearer	CANNOT be made payable to bearer.	CAN be payable to bearer — but NOT on demand.
5.	Who signs	Maker (debtor) signs it.	Drawer (creditor) signs; Drawee accepts.
6.	Maker's Liability	Primary and unconditional from the start.	Primary only after acceptance by the Drawee.
7.	Notice of Dishonour	Generally not required to be given to maker.	Must be given to drawer and all endorsers.
8.	Stamping	Required under Indian Stamp Act.	Required under Indian Stamp Act.

S.No.	Basis	Promissory Note	Bill of Exchange
9.	Parties same person?	Maker and Payee must be different persons.	Drawer and Payee can be the same person.

4. CHEQUE [Section 6]

Definition

A **Cheque** is a Bill of Exchange drawn on a specified banker, not expressed to be payable otherwise than on demand. It also includes:

- **Cheque in electronic form:** Drawn using a computer resource, signed with a digital/electronic signature.
- **Truncated cheque:** A cheque converted into an electronic image during clearing — the physical cheque stops moving, and the image is transmitted instead.
- **'Payable on demand':** The holder can present it at any time and demand payment immediately.
- **'Banker'** includes any person acting as a banker and any post office savings bank.

Parties to a Cheque

- **Drawer:** Account holder who writes/signs the cheque — the debtor. Liability is primary and conditional.
- **Drawee:** The specific bank on which the cheque is drawn. Always a bank. Makes the payment.
- **Payee:** Person in whose favour the cheque is issued. Can be the drawer himself or a third party.
- **Drawee in case of need:** A person named in the bill/endorsement to be approached if the original drawee refuses to pay.

Essential Characteristics of a Cheque

- All essentials of a Bill of Exchange apply.
- Must be drawn on a specified banker
- Must be payable on demand.
- **Does NOT require stamping** (unlike P/N and BOE).
- **Does NOT require acceptance** by the bank.

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KEY RULE: All Cheques are Bills of Exchange — but NOT all Bills are Cheques. A Cheque is a special BOE that is (i) always drawn on a banker, and (ii) always payable on demand.

5. CLASSIFICATION OF NEGOTIABLE INSTRUMENTS

(A) Bearer Instrument vs. Order Instrument [Section 13]

Type	When it is this type	How Transferred
Bearer Instrument	• Name of payee is blank, OR • Words 'or bearer' are used, OR • The last endorsement is in blank (only signature, no name)	By mere DELIVERY
Order Instrument	• Payable to a named person, OR • Payable to a person 'or order', OR • The last endorsement is in full (name + signature)	By ENDORSEMENT + DELIVERY

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(B) Inland Instrument vs. Foreign Instrument [Sections 11 & 12]

- **Inland Instrument:** A P/N, BOE, or Cheque drawn/made in India AND (payable in India OR drawn on a person resident in India). Remains inland even if endorsed in a foreign country.
- **Foreign Instrument:** Any instrument that is NOT an inland instrument.

Liability on Foreign Bills [Section 134]: Maker/drawer's liability = governed by law of the place the instrument was made. Acceptor/endorser's liability = governed by law of the place where it is payable.

(C) Inchoate Instrument [Section 20]

- **An Inchoate Instrument** is one that is signed and stamped but left wholly or partially blank (incomplete).
- The signer gives the holder authority to fill in any amount — up to the limit of the stamp affixed.
- **Based on the principle of Estoppel** — you cannot deny what you have allowed.
- **IMPORTANT: The instrument must have been delivered by the signer.** If signed but stolen before delivery, the signer is NOT liable to a holder in due course.

Holder vs. Holder in Due Course (HIDC) on Inchoate Instruments:

> **Simple Holder:** Can only recover up to the amount the signer intended to pay.
> **Holder in Due Course:** Can recover any amount — provided it is within the stamp's limit.

(D) Ambiguous Instrument [Section 17]

- **An Ambiguous Instrument** is one that is unclear — cannot be clearly identified as either a P/N or a BOE.
- The holder may choose to treat it as either type, at his discretion.
- **Once the holder makes his choice, he is bound by it** — he cannot later switch to saying it is the other type.

6. NEGOTIATION (TRANSFER) OF NEGOTIABLE INSTRUMENTS

Negotiation means transferring an instrument to another person so as to make that person the holder of it. It involves transfer of ownership. [Section 14]

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Modes of Negotiation

- **Bearer instrument:** Negotiated by mere DELIVERY (actual or constructive). [Section 47]
- **Order instrument:** Negotiated by ENDORSEMENT + DELIVERY. [Section 48]

Importance of Delivery [Section 46]

- Delivery is essential for negotiation of both bearer and order instruments.
- **Delivery must be voluntary** — the purpose must be to pass ownership to the other person.
- **Actual delivery:** Physical handover of the instrument.
- **Constructive delivery:** Instrument handed to the endorsee's agent/clerk/servant on his behalf. OR the endorser, after endorsement, holds the instrument as an agent of the endorsee.
- **Conditional delivery:** If an instrument is delivered only for a special purpose (not to transfer ownership), the property does NOT pass — unless a holder in due course is involved.
- **If endorser dies before delivery:** The legal representative CANNOT complete the negotiation by mere delivery. [Section 57]

> *Example: Y endorsed a cheque in favour of Z but kept it in his table drawer. Y died. Z found the cheque in Y's drawer. → Z does NOT become the holder — delivery never happened, negotiation was incomplete.*

Example: A holds a bearer instrument and delivers it to B's agent to keep for B. → Valid negotiation (constructive delivery to B's agent counts as delivery to B).
Example: A's banker holds a bearer instrument; A directs the banker to transfer it to B's credit. Banker does so and holds it as B's agent. → Instrument has been negotiated; B is the holder.

7. DISHONOUR OF CHEQUES [Sections 138–142]

When is Dishonour of a Cheque an Offence? [Section 138]

- When a cheque is returned unpaid because:
  - (i) The amount in the account is insufficient to honour it, OR
  - (ii) The amount exceeds the arrangement made with the bank.
- The cheque must have been issued to discharge a legally enforceable debt or liability.
- **NOT an offence if the cheque was given as:** a gift, donation, security deposit, to discharge a moral obligation, or for an illegal purpose.

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Three Conditions for Section 138 to Apply

Step	Condition	Time Limit
(a)	Cheque presented to bank	Within 3 months from date of cheque (or its validity period, whichever is earlier).
(b)	Written demand notice sent to Drawer	Payee/HIDC must send written notice to drawer within 30 days of receiving information of dishonour from the bank.
(c)	Drawer fails to make payment	Drawer must pay within 15 days of receiving the notice. If he doesn't, the offence is complete.

TIMELINE: Complaint can be filed only after 45 days of dishonour = 30 days (notice period) + 15 days (drawer's time to pay).

Penalty [Section 138]

- Imprisonment up to 2 years, OR
- Fine up to twice the amount of the cheque, OR
- Both imprisonment and fine.

Presumption in Favour of Holder [Section 139]

- When a cheque is dishonoured, it is presumed (unless the contrary is proved) that it was issued to discharge a legally enforceable debt.
- **This is a rebuttable presumption** — the drawer (accused) can disprove it.
- **Effect:** The evidential burden shifts to the accused — he must prove it was not for a debt.

No Defence [Section 140]

- **The drawer CANNOT say:** 'I didn't think the cheque would bounce when I issued it.' This is NOT a valid defence.
- **Even a stop payment instruction** by the drawer does NOT protect him from Section 138 liability. Once a cheque is issued, the presumption under Section 139 kicks in automatically.

> *Example: X issued a post-dated cheque to Y to discharge a debt. X later told the bank to stop payment. Cheque was dishonoured. → X is still liable under Section 138. Stop payment is NOT a defence. Section 139 presumption applies.*

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8. PRESENTMENT OF INSTRUMENTS [Sections 61–77]

> Presentment means formally showing or submitting the instrument to the person who must accept it or pay it.

Presentment for Acceptance [Section 61] — Only for BOE

- **Applies to:** BOE payable 'after sight' must be presented to the drawee for acceptance.
- **When:** Within a reasonable time after it is drawn, during business hours on a business day.
- **Drawee's right:** The drawee can take up to 48 hours (excluding public holidays) to decide whether to accept. [Section 63]
- **If drawee cannot be found after reasonable search:** The bill is dishonoured.
- **If bill directed to a specific place:** Must be presented at that place. If drawee not found there → bill is dishonoured.
- **Presentment by registered post is allowed** if custom or agreement permits.
- **Default consequence:** If not presented properly, no party is liable to the person who defaulted.

Presentment of Promissory Note for Sight [Section 62]

- **Applies to:** A P/N payable 'at a certain period after sight'.

- **Must be presented to the maker for sight** within a reasonable time, during business hours.
- **Default:** No party is liable to the person who defaulted on presentment.

Presentment for Payment [Section 64]

- Promissory Note → presented to the Maker.
- Bill of Exchange → presented to the Acceptor.
- Cheque → presented to the Drawee (bank).
- **Time:** During usual business hours. If at a banker's → within banking hours. [Section 65]
- **Default:** Other parties are NOT liable to such holder.
- **Exception:** A demand P/N not payable at a specified place — no presentment needed to charge the maker.

Other Presentment Rules at a Glance

Section	Rule	Details
Sec. 66	Instrument payable after date or sight	Must be presented for payment at MATURITY.
Sec. 67	P/N payable by instalments	Present on 3rd day after each instalment's due date.
Sec. 68	Specified place — exclusively	Must be presented at that place only.
Sec. 69	Specified place — to charge maker/drawer	Must be presented at that specified place.
Sec. 70	No exclusive place specified	Present at place of business (if any) or usual residence.
Sec. 71	No known place of business or residence	Present to the person wherever he can be found.
Sec. 72	Cheque — to charge Drawer	Present at the bank before the banker-drawer relationship changes to drawer's prejudice.
Sec. 73	Cheque — to charge any other person	Present within reasonable time after delivery by that person.
Sec. 74	Instrument payable on demand	Present within reasonable time after received by the holder.
Sec. 75	Presentment to agent / representative	Can be made to authorised agent, legal representative (if deceased), or assignee (if insolvent).
Sec. 75A	Delay excused	Delay excused if caused by circumstances beyond holder's control (not his fault). Present within reasonable time once cause ends.

When Presentment is NOT Necessary [Section 76]

The instrument is treated as DISHONOURED at the due date if:

(i) Maker / drawee / acceptor intentionally prevents presentment.
(ii) Payable at his place of business — and he closes it on a business day during business hours.
(iii) Payable at a specific place — and no authorised person attends there.
(iv) No specified place — and person cannot be found after diligent search.
(v) Any party has agreed to pay despite non-presentment.
(vi) Any party makes a part payment after maturity (knowing the instrument was not presented).
(vii) Any party promises to pay or waives his right to take advantage of non-presentment.
(viii) Drawer could not have suffered any damage from non-presentment.

Banker's Liability for Negligent Handling [Section 77]

- **If a BOE accepted at a specified bank is dishonoured, and the banker negligently or improperly handles or delivers back the bill causing loss to the holder** → the banker must compensate the holder for that loss.

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9. RULES OF COMPENSATION [Section 117]

When a P/N, BOE, or Cheque is dishonoured, the compensation payable is determined by the following rules:

Rule	Situation	Compensation / Entitlement
(a)	Holder's basic entitlement	Amount due on the instrument PLUS expenses properly incurred in presenting, noting, and protesting it.
(b)	Parties at different places	If the charged person lives at a different place from where the instrument was payable → holder gets amount at the CURRENT RATE OF EXCHANGE between those two places.
(c)	Endorser who paid	An endorser who paid the dishonoured amount is entitled to: Amount paid + Interest at 18% per annum from date of payment till realisation + All expenses caused by dishonour and payment.
(d)	Endorser and charged person at different places	Endorser is entitled to receive amount at the CURRENT RATE OF EXCHANGE between those places.
(e)	Drawing a new bill	Party entitled to compensation MAY draw a new bill on the liable party (payable at sight or on demand) for the

Rule	Situation	Compensation / Entitlement
		amount owed + all proper expenses. New bill must be accompanied by the dishonoured instrument and protest (if any). If the new bill is also dishonoured → same compensation rules apply.

Interest rate for compensation = 18% per annum. For foreign currency transactions → use CURRENT RATE OF EXCHANGE.

QUICK COMPARISON: P/N vs. BOE vs. CHEQUE

Feature	Promissory Note	Bill of Exchange	Cheque
Governing Section	Section 4	Section 5	Section 6
Nature	Promise to pay	Order to pay	Order to pay (on demand only)
Parties	2 — Maker, Payee	3 — Drawer, Drawee, Payee	3 — Drawer, Bank, Payee
Drawee	No drawee	Any person	Always a bank
Acceptance required?	NO	YES — by drawee	NO
Payable when?	On demand or future date	On demand or future date	ALWAYS on demand only
Stamping required?	YES	YES	NO
Payable to bearer?	NO — illegal	YES, but NOT on demand	YES
Crossing applicable?	NO	NO	YES
Notice of dishonour	Generally not required to maker	Required to drawer and endorsers	Not required to drawee (bank)

SECTION 138 — CHEQUE DISHONOUR TIMELINE

Day / Deadline	Event
Day 0	Cheque bounces → bank informs the holder of dishonour.
Within 30 days of Day 0	Holder must send a WRITTEN DEMAND NOTICE to the Drawer.
Within 15 days of notice	Drawer must pay. If he does not → offence is complete under Section 138.
Day 45 onwards	Holder can file a complaint in the court (Judicial Magistrate or Metropolitan Magistrate).
Validity of cheque	Cheque must have been presented within 3 months of its date (or validity period, whichever is earlier).

Penalty: Up to 2 years imprisonment OR fine up to twice the cheque amount OR BOTH. | Section 139: Presumption of debt (rebuttable). | Section 140: 'I didn't expect it to bounce' is NOT a defence.

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KEY TERMS GLOSSARY

Term	Meaning
Negotiable Instrument	A written document freely transferable by delivery or endorsement+delivery; the bona fide holder gets a clean title.
Endorsement (Indorsement)	Signing the instrument (usually on the back) to transfer it. Signer = Endorser. Recipient = Endorsee.
Blank Endorsement	Only the endorser's signature — no name of endorsee. Converts instrument into a bearer instrument.
Full / Special Endorsement	Endorser writes the endorsee's name + signs. Instrument remains an order instrument.
Holder	Person in possession of the instrument who is entitled to receive payment.

Term	Meaning
Holder in Due Course (HIDC)	Holder who got the instrument for value, before maturity, in good faith, without notice of any defect. Gets the strongest protection under the Act.
Acceptance	Drawee signing the BOE to confirm he will pay on maturity.
Dishonour	Non-payment or non-acceptance of the instrument when duly presented.
Noting	Recording of dishonour by a Notary Public (used as evidence).
Protest	Formal certificate by a Notary Public attesting to dishonour — compulsory for foreign bills.
Days of Grace	3 extra days added to the maturity date of a time instrument. NOT applicable to demand instruments.
Maturity	The date on which a time instrument becomes due for payment (including 3 days of grace).
Estoppel	Legal principle: you cannot deny what you have allowed or represented. Basis for inchoate instrument liability.
Clearing House	Managed by RBI; facilitates cheque clearing between banks.
Truncated Cheque	Cheque converted to an electronic image during clearing — the physical cheque stops moving.
Inland Instrument	Drawn/made in India AND payable in India OR drawn on a person resident in India.
Foreign Instrument	Any instrument that is NOT an inland instrument.
Inchoate Instrument	Signed and stamped but left blank / incomplete — holder has authority to fill in an amount within stamp limits.
Ambiguous Instrument	Cannot clearly be identified as P/N or BOE — holder may choose to treat it as either (choice is binding).

—— End of Chapter 7 · The Negotiable Instruments Act, 1881 ——

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